

Correlation is just the word people use to take an average of how two prices have behaved together. When I am setting up my trading bets, I am not looking at correlation; I am looking at whether the drivers are different. I am choosing 15 or more assets that behave differently for logical reasons. I may talk about the return streams in the portfolio being uncorrelated, but be aware that I'm not using the term correlation the way most people do. I am talking about the causation, not the measure.

There has been some press recently about the culture at Bridgewater. How would you describe it?

The Bridgewater culture seeks truth by encouraging independent thinking and innovation in an environment of radical transparency. We recognize that there must be thoughtful disagreement and non-ego-impaired explorations of mistakes and weaknesses to achieve our goals. It is a culture in which people hold each other to very high standards and are completely honest with each other, while still being extremely considerate. It is a culture that values truth and transparency so much that we record almost all discussions so there can't be any spin.

I think that one of the greatest problems that plagues mankind is that people are always saying, "I think this, and I think that," when there is a high probability they are wrong. After all, to the extent that there is strong disagreement about an issue, a lot of the people must be wrong. Yet most of them are totally confident they are right. How is that possible? Imagine how much better almost all decision making would be if people who disagree were less confident and more open to trying to get at the truth through thoughtful discourse. Anyway, that's the approach that works well for us.

When there is a disagreement between you and Bridgewater employees whose opinion you respect, how is the difference of opinion resolved?

We reach resolutions by questioning each other, which leads to better understanding. *You say that. Why do you say that? What is the evidence? What do we need to look at? How can we resolve the difference? Who do we need to bring in to facilitate the conversation and help us move forward?* And so on. That process produces discovery, and that's